

The defendant-mortgagors contend that Paragraph 15 is a standard provision which confers only a right of entry on the premises upon default, and that if the parties intended to provide the mortgagee with a right of inspection and testing, particularly the broad ranging inspection plaintiff now seeks, they would have expressly contracted accordingly. However, the purpose of the right to immediate possession and reentry clause is, among other things, to give the mortgagee a right to control the physical characteristics and condition of the property and protect it from further damage prior to the transfer of title. It seems a reasonable interpretation, in light of modern circumstances and recent developments of law, *see, e.g., Chase Lincoln First Bank, N.A. v. Kesselring-Dixon Incorporated*, 147 Misc.2d 12, 554 N.Y.S.2d 379 (Sup.Ct., Onondaga Co. 1990) and *United States v. Fleet Factors Corp.*, 901 F.2d 1550 (11th Cir.1990), that it authorizes reentry for the purpose which RTC is asking us to approve.

[9] A hearing was held on this motion at which testimony as to the nature of the proposed tests and the risks involved was received. According to expert witnesses on both sides, whatever burden the Phase II testing might cause is minimal. Phase II studies involve boring and removing several soil samples, four to six inches in diameter, near each of the underground gas tanks located on the properties. The mortgagor-defendants contend that obtaining these core samples could be extremely dangerous and disruptive to the business of the tenants who are in possession of the properties. However, according to the expert witnesses on both sides, these samples could be obtained in two to three days and would only require the presence of a small truck with drilling equipment. As to the defendants' various arguments concerning the risk of rupturing fuel tanks or pipes, cutting through gas, electrical or water lines or steam pipes, or even interfering in some way with the operation of subway lines which may lie beneath two of the premises,—of course, there is always some risk in conducting such tests, but as the defendants' own expert conceded, with the

exercise of a reasonable degree of care, the tests can be done with a high degree of safety. Moreover, the injunction can be so conditioned as to insure that the individuals conducting the Phase II studies take all precautions to limit disruption to current tenants/landowners and the property; to require that the tests be conducted carefully and in accordance with all governmental regulations; and to provide that the appropriate parties be insured against damage to person or property that may occur as a result of the testing.

* * * * *

Plaintiff's motion for an order compelling the mortgagor-defendants and tenant-defendants to allow plaintiff to conduct Phase II environmental tests on the premises is granted subject to the conditions specified above. Defendants' cross-motion to dismiss is denied.

Submit proposed decree on notice to all affected parties.



**GRAND UPRIGHT MUSIC
LIMITED, Plaintiff,**

v.

**WARNER BROTHERS RECORDS, INC.,
WEA International Inc., Marcel Hall,
professionally known as Biz Markie,
Biz Markie Productions, Inc., Cool V
Productions, Inc., Cold Chillin'
Records, Inc., Biz Markie Music, Inc.,
Cold Chillin' Music Publishing, Inc.,
Tyrone Williams, and Benny Medina,
Defendants.**

No. 91 Civ. 7648 (KTD).

United States District Court,
S.D. New York.

Dec. 17, 1991.

Artist brought action for preliminary injunction against rap artist based on copy-

right infringement. The District Court, Kevin Thomas Duffy, J., held that artist owned valid copyright that was infringed by rap artist's partial incorporation of the copyrighted piece into the rap recording.

Application for preliminary injunction granted.

1. Copyrights and Intellectual Property

⌚41

Artist established ownership of valid copyright to allegedly infringed song "Alone Again (Naturally)"; alleged infringer's efforts to obtain license from artist, along with certificates of copyright and artist's testimony, indicated that artist owned the copyright.

2. Evidence ⌚380

Copies of certificates of copyright were admissible, despite contention they were not "authenticated" in absence of identification by someone authorized by original copyright holder, since dissolved, absent indication that certificate was anything less than true and complete copy of public record. Fed.Rules Evid.Rule 902, 28 U.S.C.A.

3. Evidence ⌚380

Evidence that copyrights had been transferred from music company to artist was admissible in copyright infringement action even though the copyrights had not been filed with registrar of copyrights and allegedly infringing party claimed to be surprised when documentation of transfer was produced at hearing.

4. Copyrights and Intellectual Property

⌚75

Argument by rap artists that they should be excused from liability for infringing copyright by incorporating another's work into their recording, because others in rap music business were also allegedly engaged in illegal activity, was totally specious.

1. Exodus, Chapter 20: Verse 15.

Carro, Spanbock, Kaster & Cuiffo, New York City, for plaintiff (Joseph D. Pope, of counsel).

Cinque & Cinque, P.C., New York City, for defendants (Robert W. Cinque, of counsel).

MEMORANDUM AND ORDER

KEVIN THOMAS DUFFY, District

Judge:

"Thou shalt not steal."¹ has been an admonition followed since the dawn of civilization. Unfortunately, in the modern world of business this admonition is not always followed. Indeed, the defendants in this action for copyright infringement would have this court believe that stealing is rampant in the music business and, for that reason, their conduct here should be excused. The conduct of the defendants herein, however, violates not only the Seventh Commandment, but also the copyright laws of this country.

[1] This proceeding was instituted by Order To Show Cause to obtain a preliminary injunction against the defendants for the improper and unlicensed use of a composition "Alone Again (Naturally)" written and performed on records by Raymond "Gilbert" O'Sullivan. Defendants admit "that the Biz Markie album 'I Need A Haircut' embodies the rap recording 'Alone Again' which uses three words from 'Alone Again (Naturally)' composed by Gilbert O'Sullivan and a portion of the music taken from the O'Sullivan recording." Defendants' Post-Hearing Memorandum at 2. The only issue, therefore, seems to be who owns the copyright to the song "Alone Again (Naturally)" and the master recording thereof made by Gilbert O'Sullivan.

Three categories of proof lead me to the conclusion that the plaintiff is the true owner of these copyrights: (1) copies of the original copyrights made out to NAM Music, Inc., along with a deed vesting title to the copyrights in Gilbert O'Sullivan and another deed transferring the copyrights to the plaintiff corporation; and (2) the testimony of Gilbert O'Sullivan the acknowl-

edged writer of the composition "Alone Again (Naturally)" and the performer who is featured on the master recording pirated by the defendants; and (3) the defendants' actions both before and after the issuance of the defendant album in contacting Gilbert O'Sullivan and his brother/agent in an attempt to obtain a license to use the copyrighted material.

[2] Defense counsel objected to the admission of copies of the certificates of copyright because they were not "authenticated." It was apparent that defense counsel was not using this term "authenticated" in the sense that it is normally used in the law, particularly in the law of evidence. Since the original copyright was in the name of NAM Music, Inc., defense counsel seemed to argue that someone authorized by NAM Music, Inc. would have to identify the certificates in order to "authenticate" them.

Of course, the reader should be aware that NAM Music, Inc. had long been dissolved, as defense counsel knew. It was clear to me that the use of the word "authenticate" by defense counsel had nothing whatsoever to do with self-authentication of public records under Rule 902 of the Federal Rules of Evidence. Nor did counsel believe that the certificate was anything less than a true and complete copy of the public record.

[3] Counsel for the defendants also attempted to keep out evidence of the transfer to the plaintiff of copyrights in the work at issue. Defense counsel did not conduct any discovery in the time between the institution of this lawsuit and the hearing on the preliminary injunction and claimed to be surprised when the plaintiff produced documentation of the transfer. However, that defense counsel did not adequately prepare for this hearing does not give the court cause to reject evidence of the transfer.

Defense counsel also objected to the admission of the transfer documents on the grounds that, since they had not been filed with the Registrar of Copyrights, they were without legal effect. This is not the law and the specific section upon which the

defense counsel relied has long been repealed. These documents, taken together, prove valid copyrights vested in the plaintiff.

In addition to the documents offered into evidence by the plaintiff, Gilbert O'Sullivan—who the defendants acknowledge was the composer, lyricist and first performer of the piece at issue—testified that plaintiff is the owner of the copyright. There can be no one more interested in the question of valid copyright than a person in Gilbert O'Sullivan's position and he was a thoroughly credible and believable witness. Defense counsel did not effectively controvert O'Sullivan's testimony in any way. Indeed, the thrust of the cross-examination of O'Sullivan went to the artist's motive for refusing to give the defendants a license to use the song.

However, the most persuasive evidence that the copyrights are valid and owned by the plaintiff comes from the actions and admissions of the defendants. Prior to the time that Biz Markie's album was released, the various defendants apparently discussed among themselves the need to obtain a license. They decided to contact O'Sullivan and wrote to his brother/agent, enclosing a copy of the tape. In this letter, an attorney for the defendant states:

This firm represents a recording artist professionally known as Biz Markie, who has recorded a composition for Cold Chillin' Records entitled "Alone Again" which incorporates portions of the composition entitled "Alone Again Naturally" originally recorded by Gilbert O'Sullivan (the "Original Composition").

Biz Markie would like to obtain your consent to the use of the "Original Composition."

In writing this letter, counsel for Biz Markie admittedly was seeking "terms" for the use of the material. One would not agree to pay to use the material of another unless there was a valid copyright! What more persuasive evidence can there be!

Each defendant who testified knew that it is necessary to obtain a license—sometimes called a "clearance"—from the hold-

er of a valid copyright before using the copyrighted work in another piece. Warner Bros. Records, Inc. had a department set up specifically to obtain such clearances. Brown Deposition of 11/19/91 at 30 et seq.; Tillman Deposition of 11/22/91 at 7. WEA International, Inc. knew it had to obtain "consents, permissions or clearances...." Rossi Deposition of 11/22/91 at 10-11. Cold Chillin' Records, Inc. knew that such clearances were necessary. Fitchelberg Deposition of 11/21/91 at 34 et seq.

Clearly, the attorneys representing Biz Markie and acting on his behalf also knew of this obligation. Biz Markie's attorneys sent copies of an August 16 letter, addressed to counsel for Cold Chillin' Records, Inc., to the other defendants. That letter contains the following:

In light of the fact that Cold Chillin' knew that other sample clearance requests were pending at that time, it follows that Cold Chillin' should have known that similar denials of permission by rightsholders of other samples used on the album and single might be forthcoming, for which similar action would have been appropriate. Nevertheless, instead of continuing to communicate with our client and us and otherwise cooperating to ensure that all rights were secured prior to release of the album and single, as it did in the situation involving the Eagles samples, Cold Chillin' unilaterally elected to release the album and single, perhaps with the thought that it would look to Biz for resolution of any problems relating to sampling rights, or the failure to secure such rights, that may arise in the future.

Consequently, if any legal action arises in connection with the samples in question, such action will not arise due to the fact that Biz used the samples in his recorded compositions, but rather, due to the fact that Cold Chillin' released such material prior to the appropriate con-

sents being secured in connection with such samples.

[4] From all of the evidence produced in the hearing, it is clear that the defendants knew that they were violating the plaintiff's rights as well as the rights of others. Their only aim was to sell thousands upon thousands of records.² This callous disregard for the law and for the rights of others requires not only the preliminary injunction sought by the plaintiff but also sterner measures.

The application for the preliminary injunction is granted. The plaintiff is to submit within five (5) days hereof an appropriate decree. This matter is respectfully referred to the United States Attorney for the Southern District of New York for consideration of prosecution of these defendants under 17 U.S.C. § 506(a) and 18 U.S.C. § 2319.³

SO ORDERED.



Alvin J. IVERS, Trustee of the Alvin J. Ivers, P.C. Pension Trust, Erik Ballan, William Steiner, Lee Bloom and Violet Klein, on behalf of themselves and all others similarly situated, Plaintiffs,

v.

KEENE CORPORATION and Glenn W. Bailey, Defendants.

No. 91 Civ. 2140 (WCC).

**United States District Court,
S.D. New York.**

Dec. 18, 1991.

Purchasers of stock in parent corporation brought action against parent corpora-

2. The argument suggested by the defendants that they should be excused because others in the "rap music" business are also engaged in illegal activity is totally specious. The mere statement of the argument is its own refutation.

3. The resolution of any issue left open in this civil matter should have no bearing on the potential criminal liability in the unique circumstances presented here.